LAND CLOSERS BLUEPRINT

BONUS 2

DUE DILIGENCE

The 6-check system that catches every deal-killer before it costs you a dollar.

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Land Closers Blueprint

The 6 Checks

Run these on every deal before you commit any money or sign any contract. Most of this information is publicly available and free to access. The goal is to catch the deal-killers before they cost you.

Time required: 2-4 hours for a thorough review. Budget 1-2 weeks of due diligence in your contract.

A deal that fails due diligence is a win. You just saved yourself from a loss.

Check	Verdict
1. Zoning	[ ] Pass [ ] Fail [ ] N/A
2. Road Access	[ ] Pass [ ] Fail [ ] N/A
3. Utilities	[ ] Pass [ ] Fail [ ] N/A
4. Environmental/Flood	[ ] Pass [ ] Fail [ ] N/A
5. Title	[ ] Pass [ ] Fail [ ] N/A
6. Perc Test	[ ] Pass [ ] Fail [ ] N/A

CHECK 1 OF 6

Zoning

Is the land legally usable for what a buyer wants to do with it? A lot zoned agricultural in a county with strict conversion rules is worth a fraction of a residentially-zoned lot next door.

Who to Call

County Planning or Zoning Department. Look up the county name + 'zoning department' and call them directly. Takes 5 minutes.

What to Ask

What is the current zoning designation for parcel #[PARCEL]? What is it permitted to be used for? Are there any overlay zones, setbacks, or restrictions I should know about?

Free Tool

Most counties have a GIS or parcel lookup tool online. Search [County Name] GIS parcel search. You can often find zoning right on the map without calling.

Red Flags - STOP

Conservation zoning, wetland overlay, or agricultural-exclusive zoning with no conversion path. Confirm with the county whether reclassification is possible before walking away.

Common Zoning Types

Zone	Meaning	Notes
R-1/R-2/R-3	Residential	Buildable lots, strong buyer demand
A-1/AG	Agricultural	Can be great if conversion is allowed
C-1/C-2	Commercial	Good for builder/developer buyers
Conservation	Protected land	Usually a deal-killer, verify carefully
Mixed Use	Multi-purpose	Strong demand in growth corridors

CHECK 2 OF 6

Road Access

A landlocked lot, one with no legal road access, is worth a fraction of an accessible lot in the same area. This is the single most common deal-killer that catches beginners.

Quick Visual Check

Open Google Maps, switch to satellite view. Trace a road from the nearest public street to the lot. If there is no road touching the property, proceed to the next step before assuming it's landlocked.

Confirm with County

Call the county assessor or GIS department and ask: 'Does parcel #[PARCEL] have legal road frontage or a recorded easement for access?' They will tell you.

Easement Check

If there is no direct road frontage, ask if there is a recorded access easement through a neighboring property. This is common in rural counties and does NOT make the lot worthless.

Red Flag - STOP

No road frontage AND no recorded easement. This is a landlocked parcel. It is not unsellable, but you need to price it correctly. A landlocked lot sells at 30-60% discount to comparable accessible lots.

PRO TIP: If you're pursuing a landlocked lot anyway, contact the neighbor whose land surrounds it. An easement negotiation with one motivated neighbor can unlock significant value.

CHECK 3 OF 6

Utilities

Buyers pay a premium for lots with utilities in place. Lots without any utility access aren't worthless, but they're worth less and take longer to sell.

What to Check

Electric: Contact the local utility provider. Water: City water connection or well? Sewer: City sewer or will it need septic? Gas: Available at street or propane only?

How to Find Providers

Search [County] electric utility, [County] water district, and [County] sewer district. One call to each typically answers the question.

Utilities Not Available

Not a deal-killer. Just factor the cost into your offer. Buyers in rural areas expect to add well/septic. Price the lot accordingly and disclose what's there.

Utility Status	Value Impact
All utilities at lot line	**+$10K-$30K vs. raw land**
Electric only	**+$5K-$15K**
No utilities, buildable area	**Market rate, disclose clearly**
No utilities, very remote	**-20-40% vs. comparable accessible lots**

CHECK 4 OF 6

Environmental and Flood Zone

Environmental issues and flood zone designations affect both value and buildability. A lot in a 100-year floodplain is not worthless, but buyers will want to know and will pay accordingly.

FEMA Flood Map

Go to msc.fema.gov and enter the property address. Look for the flood zone designation. Zone X = minimal risk. Zone AE or AH = significant flood risk. Zone V = coastal, highest risk.

Wetlands Check

Go to wetlands.fws.gov (National Wetlands Inventory). Overlay the parcel. Any wetland designation requires further investigation before you commit.

Environmental History

Search [County] property address + 'environmental' or check the EPA's EnviroMapper at ejscreen.epa.gov. Prior industrial use flags potential contamination.

Flood Zone - Not Always a Killer

Many buyers will accept flood zone lots at the right price. The issue is financing. A buyer who needs a mortgage will pay for flood insurance, which affects their payment. Cash buyers are less affected.

Red Flag - STOP

Wetland designation covering more than 50% of the lot. Major regulatory hurdles and mitigation costs often make these unworkable at standard land investor prices.

CHECK 5 OF 6

Title

A clean title means the seller actually owns the property and no one else has a financial claim on it. Most title issues get caught by your title company, but catching them early saves you weeks.

Preliminary Title Search

Ask your title company to run a preliminary title report before you lock up the deal. Many will do this for free if you've established a relationship with them.

Tax Delinquency Check

Search the county tax collector website for the parcel number. Outstanding taxes don't kill a deal but they reduce net proceeds to the seller. Account for this in negotiations.

Liens and Judgments

County recorder search for the seller's name + property address. The title company will also catch this but doing it early saves time.

Ownership Verification

Make sure the person you're talking to is actually on title. Ask for the deed early. Mismatched names, recent estate transfers, or LLC ownership can create complications.

Red Flag - STOP

IRS tax lien, HOA lien larger than the purchase price, or ownership dispute with multiple claimed heirs and no probate resolution. These CAN be solved but require a real estate attorney and significant time.

PRO TIP: Build a relationship with one reliable title company per market you work. Give them all your deals. They'll turn around faster, flag issues proactively, and make the process seamless.

CHECK 6 OF 6

Perc Test

If the lot needs a septic system (no city sewer connection), the soil must be able to absorb wastewater. A failed perc test means no septic system, which often means no building permit.

When It Applies

Any lot without city sewer that a buyer intends to build on. Rural lots, lake lots, mountain lots. If city sewer is at the lot line, skip this check.

Who Does It

A licensed soil scientist or engineer. Cost: $300-$800 depending on the county. Takes 1-3 days to schedule and conduct.

How to Approach

Don't pay for a perc test on every deal. If you're assigning the contract, disclose that a perc test hasn't been conducted and price accordingly. Only pay for the test if you're holding the lot longer or if a buyer requests it.

Red Flag - STOP

Prior perc test on county record that shows a fail. Ask the county health department if any perc tests have been filed on the parcel. A recorded fail is a significant hurdle.

Go / No-Go Decision Framework

After running all 6 checks, score the deal. Use this matrix to decide whether to proceed, renegotiate, or walk.

Findings	Action	Notes
All 6 checks pass	**GO**	Move to contract immediately
1-2 minor issues	**RENEGOTIATE**	Adjust offer price to reflect risk
Access issue only	**GO at discount**	Price the landlocked discount in
Flood zone (partial)	**GO with disclosure**	Disclose to buyer, price accordingly
Wetlands (majority)	**WALK**	Regulatory risk too high at typical margins
Failed perc (recorded)	**WALK or EXPERT**	Get a soil engineer opinion first
Title dispute / liens	**PAUSE**	Get attorney involved before proceeding

A deal you walk from is not a failed deal. It's a saved loss.

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